



COLLEGE OF COMPUTER, INFORMATION AND COMMUNICATIONS TECHNOLOGY

PC 317
Systems Analysis and Design

Worksheet No. 3: System Request		Date:
Student Names:	1. 2. 3. 4.	

Objectives : Given the materials, tools and equipment, upon completion of the activity, the student must be able to:

1. Create a system request.
2. Secure approval of the panel.

Background :

A **system request** is a document that describes the business reasons for building a system and the value that the system is expected to provide. The project sponsor usually completes this form as part of a formal system project selection process within the organization. Most system requests include five elements: project sponsor, business need, business requirements, business value, and special issues.

Element	Description	Examples
Project Sponsor	The person who initiates the project and who serves as the primary point of contact for the project on the business side	Several members of the finance department Vice president of marketing IT manager Steering committee CIO CEO
Business Need	The business-related reason for initiating the system	Increase sales Improve market share Improve access to information Improve customer service Decrease product defects Streamline supply acquisition processes
Business Requirements	The business capabilities that the system will provide	Provide online access to information Capture customer demographic information Include product search capabilities Produce management reports Include online user support
Business Value	The benefits that the system will create for the organization	3% increase in sales 1% increase in market share Reduction in headcount by 5*FTEs \$200,000 cost savings from decreased supply costs \$150,000 savings from removal of existing system
Special Issues or Constraints	Issues that are relevant to the implementation of the system that need to be known by the approval committee	Government-mandated deadline for May 30 System needed in time for the Christmas holiday season Top-level security clearance needed by project team to work with data
* = Full-time equivalent		

- The *sponsor* describes the person who will serve as the primary contact for the project, and the
- *business need* presents the reasons prompting the project.
- The *business requirements* of the project refer to the business capabilities that the system will need to have, and the
- *business value* describes the benefits that the organization should expect from the system.
- *Special issues* are included on the document as a catchall category for other information that should be considered in assessing the project. For example, the project may need to be completed by a specific deadline. Project teams need to be aware of any special circumstances that could affect the outcome of the system.

The completed system request is submitted to the *approval committee* for consideration. This approval committee could be a company steering committee that meets regularly to make information systems decisions, a senior executive who has control of organizational resources, or any other decision-making body that governs the use of business resources. The committee reviews the system request and makes an initial determination, based on the information provided, of whether to investigate the proposed project or not. If so, the next step is to conduct a feasibility analysis.

Example: Applying the Concepts at Tune Source

Background John, Megan, and Phil, like many others in the music industry, watched with alarm the rise of music-sharing websites like Napster, as music consumers shared digital audio files without paying for them, denying artists and record labels royalties associated with sales. Once the legal battle over copyright infringement was resolved and Napster was shut down, the partners set about establishing agreements with a variety of industry partners in order to offer a legitimate digital music download resource for customers in their market niche. Phil has asked Carly Edwards, a rising star in the Tune Source marketing department, to spearhead the digital music download project.

Tune Source currently has a website that enables customers to search for and purchase CDs. This site was initially developed by an Internet consulting firm and is hosted by a prominent local Internet Service Provider (ISP) in Los Angeles. The IT department at Tune Source has become experienced with Internet technology as it has worked with the ISP to maintain the site.

System Request At Tune Source, new IT projects are reviewed and approved by a project steering committee that meets quarterly. The committee has representatives from IT as well as from the major areas of the business. Carly's first step was to prepare a system request for the committee.

Figure below shows the system request she prepared. The project sponsor is Carly, and the business needs are to increase sales and provide a music download capability demanded by a very competitive marketplace. Notice that the need does not focus on the technology associated with the project. The emphasis is on the business aspects: increasing sales and maintaining a competitive position in the company's market.

In the system request, the project sponsor focuses on describing his or her vision of the business requirements at a very high level. Carly has expressed a clear vision of how this system will affect Tune Source: sales of individual music downloads, revenue from customer subscriptions, sales from cross-selling of CDs, and sales of music download gift cards. Carly acknowledges customer demand for this capability and also recognizes the need to respond to this demand in order to retain the business of its loyal customer base.

The estimates of tangible value were difficult to develop, since this venture is completely new to Tune Source. To prepare for this, Carly had several of her staff members conduct both an in-store customer survey and an online customer survey to

assess the customers’ interest in individual music downloads, subscription programs, and gift cards. The surveys also attempted to gauge the customers’ price sensitivity for these offerings.

From the survey results, Carly and her staff developed a range of sales projections for the various revenue streams: a high-level estimate, a medium-level estimate, and low-level estimate. They also developed probability assessments for each of these outcomes, settling on a 25% likelihood for the high-level estimate, a 60% likelihood for the medium-level estimate, and a 15% likelihood for the low-level estimate. Based on the sales projections and the probability estimates, a weighted average estimated sales figure was computed for each revenue stream.

System Request—Digital Music Download Project
Project Sponsor: Carly Edwards, Assistant Vice President, Marketing
Business Need: This project has been initiated to increase sales by creating the capability of selling digital music downloads to customers through kiosks in our stores, and over the Internet using our website.
Business Requirements: Using the Web or in-store kiosks, customers will be able to search for and purchase digital music downloads. The specific functionality that the system should have includes the following: • Search for music in our digital music archive. • Listen to music samples. • Purchase individual downloads at a fixed fee per download. • Establish a customer subscription account permitting unlimited downloads for a monthly fee. • Purchase music download gift cards.
Business Value: We expect that Tune Source will increase sales by enabling existing customers to purchase specific digital music tracks and by reaching new customers who are interested in our unique archive of rare and hard-to-find music. We expect to gain a new revenue stream from customer subscriptions to our download services. We expect some increase in cross-selling, as customers who have downloaded a track or two of a CD decide to purchase the entire CD in a store or through our website. We also expect a new revenue stream from the sale of music download gift cards. Conservative estimates of tangible value to the company include the following: • \$757,500 in sales from individual music downloads • \$950,000 in sales from customer subscriptions • \$205,000 in additional in-store or website CD sales • \$153,000 in sales from music download gift cards
Special Issues or Constraints: • The marketing department views this as a strategic system. The ability to offer digital music downloads is critical in order to remain competitive in our market niche. Our music archive of rare and hard-to-find music is an asset that is currently underutilized. • Many of our current loyal customers have been requesting this capability, and we need to provide this service or face the loss of these customers’ business. • Because customers have a number of music download options available to them elsewhere, we need to bring this system to market as soon as possible.

Resources: ebook "System Analysis & Design 5th Edition by Dennis, Wixom, and Roth pages 18-19 and pages 21-22"

Accomplish the following tasks:

1. Create a system request based on the background provided by the previous activity.